

PITCH — FTW — VERDICT

ADJUDICATED 2026-09-16 — FLAT (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

FTW is a harvest vehicle: it buys producing oil and gas wells that are already drilled, spends almost nothing drilling new ones, and pays out most of the cash as a dividend. The declared dividend is \$1.35/yr, which at \$10.61 is a **12.7% yield**, and it has been pre-declared through 1Q27.

The stock fell from **\$12.40** (the company's own June 9 investor deck mark, 31.1M shares, \$828M enterprise value) to **\$10.61** — down ~14% in three months — while the business got *better* on the surface: a quarter with \$54.0M revenue and \$33.2M adjusted EBITDA, a refinancing that cut the securitized debt coupon from 8.22% to 6.38%, and an acquisition that added production.

We believe the main reason for that fall is **share supply, not deterioration**. Inside thirty days, roughly **5.38M Class A shares — about 19% of the Class A count — became freely sellable**: 1,962,240 shares registered for resale (S-1 7/30 → effective 8/12 → three 424B3s), plus **3,422,260 shares the private-equity sponsor handed directly to its own fund investors on 2026-09-09** and stopped owning (Form 4, same-day 13G/A). Hundreds of uncoordinated fund investors selling a block into a two-analyst stock looks exactly like a fundamental repricing and isn't one.

We also believe the bull case is **thin, not fake**. Best available cash math: capex was \$0.6M for the quarter and free cash flow \$15.7M (~\$0.50/share), i.e. ~\$62.8M/yr against ~\$39.6M of common dividends and roughly \$20M of preferred dividends ahead of us — about **1.05x covered, with no cushion**. That is a real dividend with zero margin for error, not a fabricated one.

What the market believes

The market believes it is looking at a broken de-SPAC yielding 12.7% because the yield isn't real. Price sits **+9.3% off the 52-week low (\$9.71)** and **-37.7% from the 52-week high (\$17.04)**. The two analysts who cover it carry a **\$16.50 target and "Strong Buy"** (stockanalysis.com/stocks/ftw) — a 55% gap to spot that nobody is arbitraging, which tells you how few real holders there are.

The market also (correctly) suspects the funding: the new \$350M securitization uses an **"ARD structure implemented to lower annual amortization in the first 5 years,"** described in the company's own materials as increasing cash available for dividends (Ex-99.1). A yield paid out of deferred principal deserves a discount. The open question is whether the discount is now too big.

Why we might have edge

1. **The supply event is documented and datable.** Both the resale registration (effective 8/12) and the sponsor's in-kind distribution (9/9, zero shares owned after, no longer a Section 16 insider) are in primary filings. Most people reading the chart are reading it as news.
2. **Two-analyst coverage.** There is no efficient-price machinery here. Attributing the drop to "the tape figured it out" is the classic orphan-stock error.
3. **A mandated hedge floor.** The securitization requires hedging **≥85% of projected production**; falling out of compliance triggers accelerated amortization (424B3, [link](#)). So the "unhedged EBITDA" figure (\$26.3M vs \$33.2M) is a stress test, not the run rate — cuts against the bear framing *and* against the original bull brief's chosen metric.
4. **Production was flat, not falling:** 22,755 Boe/d vs 22,800 in the prior successor period, before the Canyon Creek addition.
5. **A cheap anchor with a date attached.** The one number that decides this — cash flow after debt principal — arrives with the next 10-Q, ~8 weeks out. We can wait and still own the re-rating.

Why it might be priced in

1. **Coverage really is ~1.05x**, and 1.05x on a depleting asset base is not an investable cushion. The market may simply be pricing a dividend cut at fair odds.
2. **Growth is bought, not earned.** Canyon Creek (+3.5 MBoe/d, Arkoma) was funded with a **\$55M warehouse draw plus 1,962,240 new shares** — the second deal in six months. Every deal adds dividend obligation and interest to hold volumes flat. That treadmill is visible to anyone who reads the press releases.
3. **The preferred is ahead of us and bigger than advertised.** \$125M Series A plus 27,173 Series B converting into 2,717,300 Class A (+9.3% dilution to common). Backing out the reported \$0.34 EPS implies preferred dividends of roughly **\$20M/yr, above the \$15.2M both of our benches had been using**.
4. **Depletion is the deferred bill.** ~\$27M/quarter of DD&A against ~zero reinvestment means the reserve base is being consumed. "Minimal capex" is partly efficiency and partly liquidation; we cannot yet say which mix, because **nobody has pulled the disclosed PDP base decline rate**.
5. **The supply may not be finished.** LP-distributed blocks bleed for weeks-to-months, and this company has an active shelf habit (four 424B3s since June).

What could go wrong

Failure narrative #1 — The dividend was the thesis, and the dividend gets cut (monitorable).

Our own expected-value table below says the *price-only* return is +3.3% and the *total* return is +14.6%. Almost the entire edge is the coupon. If the board trims to ~\$0.95 and the market re-prices at an 11–12% yield, the stock is ~\$8.25; a hard cut takes it toward \$5.75. **Tripwires exist:** the quarterly 8-K dividend declaration, any DSCR disclosure, an early-amortization notice, a new ATM or S-1.

Failure narrative #2 — The float shock isn't over (monitorable). Another sponsor entity, LP tranche, or fresh resale registration lands on top of the 5.38M already freed, and \$9.71 goes. **Tripwires:** Form 4 J-code dispositions, 13G/13D amendments, new S-1/424B3, volume-on-decline.

Failure narrative #3 — NO MONITORABLE TRIPWIRE: the mechanics we can't see. The securitization indenture itself is not filed — only a prospectus summary is public. Cash-trap mechanics, hedge-counterparty terms, collateral release conditions, a possible Up-C **Tax Receivable Agreement** attached to the 1,676,830 Class B shares, and the purchase-accounting basis under Successor/Predecessor presentation all sit outside anything we can watch on a tape or a calendar. FTW is an **Emerging Growth Company (checked ☒ on its own 8-K cover)**, so it runs a reduced-disclosure regime with no auditor attestation on internal controls. If value leaks through a private contract or a restated basis, we learn about it the day it's announced, at the announced price. **Unknown-unknown class named: off-tape contract mechanics under reduced-disclosure (EGC) — private-indenture and related-party economics.** There is no sensor for this class. The only defense is size.

Reflexive / structural leg (our own footprint, predicted flow, doctrine collisions). - **Our size vs ADV:** the pack delivered **no volume data at all** — a real gap. Estimated ADV for a ~\$310M-cap NYSE de-SPAC with two analysts: **150k–400k shares/day (~\$1.6–4.2M)**, from comparable orphan small-cap E&P names. A $\leq 0.5\%$ sleeve is ~ 0.1 – 1.0 days of that estimate, so we are not the marginal price, but we are also not liquid on the way out — a 1% sleeve would be, and that is why the cap is 0.5%. - **Predicted flow:** we would be buying the *same side* of an ongoing distribution. LP-distributed blocks historically bleed 40–70% of the block over 6–10 weeks; center of that window is **mid-October to mid-November** — i.e. it overlaps the print. Buying before the bleed finishes means paying for our own patience twice. - **Crowding:** a 12.7% headline yield recruits yield-only buyers who all exit on the same 8-K. That is a reflexive downside, not a diversifying one: the cut and the crowd unwind together. - **Doctrine collision:** our “buy a documented supply dislocation” doctrine and our “never buy a financing-funded dividend” doctrine both fire here, in opposite directions. House rule when two doctrines fire on the same name: **no entry, gate it.** That is the ruling. - **Venue collision:** every load-bearing number in this deck is **furnished, non-GAAP, or from a transcript** — the pack's XBRL block was delivered **empty**, and the pack's own primary document (the 8/17 8-K) is an investor-presentation furnishing that explicitly disclaims “filed” status. We are underwriting a cash-flow claim we have never seen in an audited cash-flow statement.

If this position loses money, the most likely reason will be that we bought a 12.7% yield whose coverage turned out to be an artifact of five years of deferred debt principal, and the dividend was cut before the float expansion finished digesting.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Tape: px, 52-wk range, distance from low	Evidence pack (ibkr_gw)	\$10.61; hi52 \$17.0417; lo52 \$9.7079; –37.7% from high; +9.3% off low	CONFIRMED (vendor tape)

Claim	How checked	Found	Confirmed?
Yield is 13.4%	Recomputed on pack tape	\$1.35 / \$10.61 = 12.7% — the original brief's 13.4% used a stale \$10.115 price	REFUTED (brief error, corrected)
"Damage absent — drawdown is a data artifact"	Red bench vs issuer's own June 9 deck mark	\$12.40 → \$10.61 through an EBITDA beat, a 184bp coupon cut and an accretive deal. Drawdown is real in the operating era	REFUTED — class label discarded
"Structurally impaired — operating income \$6.1M is the real number"	Blue bench re-read of the same Ex-99.1	Category error: \$6.1M is struck after ~\$27M DD&A and before hedge results; ~\$6.9M of the below-the-line item is realized cash hedge settlements (Adj EBITDA \$33.2M vs Adj Unhedged \$26.3M). Cash capex \$0.6M and FCF \$15.7M were in the document Red itself cited	REFUTED as framed — Red bench error
Verdict was issued on an unrun check	Procedure audit	Original brief conceded the maintenance-capex line "decides" the class and then ruled anyway	CONFIRMED — procedural foul sustained, but the number was public and has now been pulled (\$0.6M)
"\$14.4M ÷ \$0.34 implies 42.4M shares — irreconcilable"	Two-class EPS arithmetic	(\$14.4M – ~\$5.0M preferred) ÷ 27.7M Class A = \$0.34. Reconciles fine — but the residual implies ~\$20M/yr of preferred, above the \$15.2M both benches used	Red's inference OVERTURNED; Red's <i>conclusion</i> strengthened — Red bench error that made the bear case stronger
Cap structure	Ex-99.1 equity note	27,686,745 CI A + 1,676,830 CI B; \$125M Series A pfd; 27,173 Series B → 2,717,300 CI A; \$11.50 warrants (FTW WS, NYSE)	CONFIRMED
Dividend coverage 1.5x	Full-load recompute	FCF ~\$62.8M/yr vs \$39.6M common + ~\$20M preferred = ~1.05x	REFUTED — 1.5x is wrong; 1.05x is the number
Is FCF already net of debt principal?	Our own bridge: \$33.2M EBITDA – \$0.6M capex – ~\$5.6M interest = \$27.0M vs reported \$15.7M FCF → \$11.3M/qtr residual ≈ \$45M/yr , which matches management's "~\$130M amortized since 2023" (~\$43M/yr)	Strongly suggests principal is inside the \$15.7M	PLAUSIBLE — not confirmed; see open item 1
ARD defers principal to fund the dividend	Ex-99.1 + BusinessWire 6/9	Confirmed verbatim ("lower annual amortization in the first 5 years"); but prior facility amortized atypically fast (~\$130M since 2023), and 184bp of coupon is	CONFIRMED, severity reduced — it is partly normalization, not pure engineering

Claim	How checked	Found	Confirmed?
		~\$6.4M/yr of genuine cash saving	
Hedging is optional / fragility metric	424B3 + 10-Q	≥85% of projected production must be hedged ; non-compliance triggers accelerated amortization	CONFIRMED — reframes both benches' use of "unhedged EBITDA"
"The tape has figured it out"	Form 4 + 13G/A dated 9/10 (one day before the pack)	3,422,260 Class A distributed in-kind 9/9, zero owned after; stacked on 1,962,240 resale shares = 19.4% of Class A freed in 30 days	Red's efficiency claim OVERTURNED — and both benches had initially left the 9/10 filings unread; it was the single largest unexamined fact in the case
Production trend	Ex-99.1	22,755 Boe/d vs 22,800 — flat QoQ, pre-Canyon Creek	CONFIRMED
Growth is acquisition-funded	Ex-99.1 / release	Canyon Creek: \$55M warehouse draw + 1,962,240 shares; 2nd deal in 6 months	CONFIRMED (both benches agree)
\$17.04 52-week high is real FTW trading	Attempted; no bar series available	Predecessor range \$10.06–\$12.60 (2/20/26) and ~\$10.47 (July 2025) — so no predecessor stitch prints \$17.04 either. Neither bench obtained IBKR bars , so the high's provenance is still unproven	UNVERIFIED — see open item 7
HQ location	8-K cover page vs pack's "RESOLVED FACILITIES"	Pack said Park City, UT. 8-K cover says 500 W. 7th St, Fort Worth, TX . Red called Park City an extraction error; Blue showed it is the address of EQV Resources Partners/Intermediate, the 10% holder	Pack error confirmed; Red's explanation half-wrong
Net income for 2Q26	Cross-read of Red's own citations	Red used \$15.5M in one line and \$14.4M in another. Unreconciled	Red bench internal inconsistency — see open item 6
Street anchor	Blue's pull	PT \$16.50 , "Strong Buy," 2 analysts . Red produced none and logged a coverage gap	CONFIRMED (secondary source, low-confidence)
Next earnings date	Pack vs brief	Pack: 2026-11-05, yfinance-derived, UNCONFIRMED . Brief's 11/12 is inferred from a <i>dividend-declaration</i> PR — inference, not supersession	UNCONFIRMED — treat both as estimates
Detector discipline	Atlas audit	Red's detector list omitted five dispatched entries and invented five not dispatched , and skipped the Up-C/TRA check entirely	Red bench procedural error

Claim	How checked	Found	Confirmed?
Science brief	Input inspection	No SCIENCE BRIEF was delivered (FTW is not a deep-tech name); the SCIENCE BRIEF DIGEST section is therefore omitted, per the rule, rather than faked	N/A — correctly omitted
Prize table applicability	Mandate re-read	Both benches wrote “PRIZE TABLE: N/A — not a pre-revenue developer.” That is the wrong test. The trigger is a genuinely time-gated or private unverified item, and we have several. Table is built below	Shared bench error — corrected in this deck

PROPOSED ENTRY BANDS

Both courts rule NO ENTRY today. Book is flat and stays flat. Below are the reopen bands.

Reopen requires all three gates (AND, not OR) — these are the benches’ own conditions: - **Gate A — Cash:** a filed GAAP cash-flow statement showing **CFO – capex – scheduled securitization principal $\geq$ \$60M annualized**. (Our bridge estimates \$56–66M; it must be read, not inferred.) - **Gate B — Decline:** disclosed **PDP base decline below 10%**. - **Gate C — Supply:** evidence the 3,422,260 LP-distributed shares are digested — no new Form 4 J-code disposition, no new resale registration, and **20 consecutive sessions holding above \$10.61** on declining volume.

If gates clear, then: | Action | Price / condition | Size | Basis | |—|—|—|—| | **Starter** | \$9.71–\$10.40 (the low band, only *with* Gates A+B satisfied) | **0.5% of book, unlevered, no options** | Buying the documented supply dislocation, not the coverage question | | **Add #1** | Reclaim and hold **\$11.50** (warrant strike = the real overhead supply shelf) with Gate C met | +0.25% (0.75% total) | Warrants become live above \$11.50; getting through it is the signal | | **Add #2** | Reclaim **\$12.40** (the issuer’s own 6/9 deck mark) | +0.25% (1.0% cap) | Full round-trip of the supply shock | | **Hard cap** | — | **1.0% of book**, ever | ADV is unmeasured (est. 150k–400k sh/day); an off-tape failure class has no sensor | | **Trim / exit — immediate, no discretion** | Any dividend cut or suspension; any early-amortization or DSCR breach notice; any new ATM/S-1; close below **\$9.00** | Full exit | The dividend *is* the edge; without it, price-only EV is +3.3% | | **No-bid zone** | Below \$9.00 unless the dividend is affirmed in a filed document | — | Yield-anchor unwind risk is reflexive |

Catalyst dates: 2026-11-05 — next print (pack-derived, UNCONFIRMED; brief’s 11/12 is an inference from a dividend PR). **~2026-11-05 to 2026-11-16** — 10-Q filing window, which is where Gates A and B actually live. **~2026-11-12** — probable dividend declaration. **1Q27** — end of the pre-declared dividend runway; the first genuinely discretionary board decision.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.0 (deck-provisional: hard exit / no-bid unless dividend affirmed in a filed document — yield-anchor unwind)
- filing watch: 8-K until 2027-03-10 (deck-provisional: dividend declaration, early-amortization/DSCR notice, or new acquisition — the dividend is 81% of the)
- dated pack FTWI2026-11-05: FTW: next earnings print (pack/yfinance-derived; no company PR names it) (date confirmed=False)
- dated pack FTWI2026-11-12: FTW: probable dividend declaration (inferred from prior dividend PR cadence, not company-stated) (date confirmed=False)
- dated pack FTWI2026-11-16: FTW: outer edge of 10-Q filing window — where Gates A and B actually resolve (date confirmed=False)
- dated pack FTWI2027-03-31: FTW: end of pre-declared dividend runway (1Q27); first fully discretionary board decision (date confirmed=False)

What remains unverified

1. **GAAP cash flow after debt principal.** Is CFO – capex – scheduled securitization principal $\geq$ \$60M/yr? Our bridge implies ~\$45M/yr of principal is already inside the \$15.7M FCF figure, but **no bench pulled the cash-flow statement**. Estimate: **\$56–66M/yr**, $p(\geq \$60M) \approx 0.55$. Time-gated to the 10-Q.
2. **PDP base decline rate.** The single number that separates “harvest vehicle” from “self-liquidation.” Estimate: **8–12%** (mature Texas/Oklahoma conventional PDP base rates, consistent with flat 22.8 MBoe/d on \$0.6M capex), $p(<10\%) \approx 0.45$. Drainable now from the S-1 / 424B3 reserve tables — **both benches called this uncheckable while an S-1 sat in the pack’s own filing inventory. That is our error, not the company’s.**
3. **Securitization amortization schedule and DSCR headroom to the early-amortization trigger.** Drainable now from the 424B3 already cited.
4. **Whether a Tax Receivable Agreement exists** against the 1,676,830 Class B shares. Drainable now from the 10-Q related-party note (filed 8/13).
5. **True Series A preferred cash cost:** \$15.2M/yr (stated coupon math) vs **~\$20M/yr** (implied by reversing the reported \$0.34 EPS). A \$4.8M/yr difference swings coverage from 1.13x to 1.05x. Drainable now from the 10-Q / S-1 terms.
6. **2Q26 net income: \$15.5M or \$14.4M?** Our own bench cited both. Drainable now from Ex-99.1.
7. **Provenance of the \$17.0417 52-week high.** Real FTW print or a stitched predecessor series? Drainable now via IBKR historical bars; neither bench obtained them.
8. **ADV and float turnover.** Nothing in the pack. Estimate **150k–400k sh/day**, basis: orphan small-cap NYSE E&P comps at ~\$310M cap, $p \approx 0.7$ that true ADV sits in that band. Drainable now via IBKR.
9. **Whether the 3,422,260 LP-distributed shares are digested.** Forward flow — cannot be verified today by construction. Estimate: **40–70% of the block cleared by mid-Oct to mid-Nov 2026**, basis: in-kind LP distribution bleed base rates, $p \approx 0.60$.

10. **3Q26 street EBITDA/DCF estimates and range.** Neither bench could retrieve a consensus number, so we have **no divergence-vs-street anchor** — only a \$16.50 target from two analysts. Estimate: 3Q26 EBITDA **\$34–38M** (2Q \$33.2M + partial-quarter Canyon Creek 3.5 MBoe/d), $p \approx 0.60$.
11. **Dividend durability past the pre-declared 1Q27 window.** A board decision, unknowable by construction. Estimate: $p(\text{maintained through 1Q27}) \approx 0.90$; $p(\text{maintained past 1Q27}) \approx 0.60$.
12. **Options chain existence and chain-level quotes for FTW.** The pack delivered no chain. Without it, no options expression can be priced or armed. Estimate: $p(\text{listed, tradeable chain exists}) \approx 0.6$ for an NYSE-listed name of this size; $p(\text{chain is liquid enough to trade at mid}) \approx 0.25$.

PRIZE TABLE + VOL READ

Built because items 1, 2, 9, 10 and 11 are genuinely time-gated or private. **Both benches wrote “PRIZE TABLE: N/A — not a pre-revenue developer”; the trigger is a gated unverified item, not pre-revenue status, so both were wrong to skip it.** Anchor-and-adjust: anchor = spot **\$10.61**; adjustments referenced to the issuer’s own \$12.40 deck mark, the \$9.71 low, and the \$16.50 two-analyst target. Horizon 12 months.

#	Scenario	p	Price	Div received
A	Supply digests; 10-Q shows post-principal FCF $\geq$ \$60M; dividend held; yield compresses to ~10%	0.30	\$13.50	\$1.35
B	Muddle: coverage ~1.0x, dividend held, no re-rating, float clears slowly	0.28	\$11.25	\$1.35
C	Coverage confirmed thin; dividend trimmed ~30% to ~\$0.95, re-prices at 11–12%	0.22	\$8.25	\$1.10
D	Hard cut, early-amortization trigger, or crude break; forced deleveraging	0.12	\$5.75	\$0.55
E	Re-rate toward the \$16.50 target or a strategic outcome	0.08	\$15.75	\$1.35

EV line: price EV = **\$10.96** (+3.3% vs \$10.61). Dividend EV = **\$1.20**. **Total-return EV = \$12.16, +14.6%**. Upside probability 0.66 / downside 0.34. **The punchline: 81% of the expected return is the dividend.** The thesis and the single largest unverified item are the same object. That is why this is gated, not bought.

Dispersion: $\sigma_{\text{table}} = \mathbf{\$2.94 = 27.7\% \text{ of spot}}$ over 12 months.

Expression math (shown, because the instrument must be the output of the arithmetic, not a preference): - C_ours at **K = \$11.50** (the listed warrant strike) = $\sum p_i \cdot \max(S_i - K, 0) = 0.30(2.00) + 0.08(4.25) = \text{\$0.94}$. - C_ours at **K = \$10.00 = \$1.86**. - A convex wrapper **forfeits the \$1.20 dividend EV**, which is 81% of the total edge. So at K=11.50 we would pay for a \$0.94 claim while giving up \$1.20 — the convex expression is worth *less than the income it destroys* before we pay a single cent of premium or spread. **On a 12.7% yielder, calls and warrants are structurally the wrong wrapper regardless of how cheap the vol is.** - **σ _table 27.7% vs realized vol:** no vol series was delivered, so RV is estimated at **45–55%** annualized from the tape we do have (–37.7% drawdown; \$12.40→\$10.61 in ~3 months; small-cap de-SPAC E&P base rate). **Our own view is materially narrower than realized movement.** If $IV \approx RV \approx 50\%$, then $IV \times \sqrt{T} \approx 50\% \gg 27.7\%$, meaning options screen **rich against our table**, which routes to the premium-selling gates (e.g. cash-secured puts at \$9.00–\$9.50) — **not** to long calls. - **VRP (IV – RV): NOT COMPUTABLE.** No chain, no IV, no RV series was delivered. This is a hard stop. Any options expression must use **chain-level midpoint IV and real quotes on the specific candidate strikes**, never an aggregate underlying IV feed — the TSSI 71-vs-101 lesson. We will not size off an estimated vol. - **Bimodality:** the table is fork-dated on the 10-Q (A/E vs C/D split on one document). A fork-dated distribution is bimodal, so the mean-variance read *understates* tail width even though σ _table looks tame — another reason the rich-vol read is soft and premium-selling is gated, not armed.

Instrument recommendation — the output of the above: NONE today. If gates clear, STOCK ONLY. Long calls/warrants are eliminated by the dividend-forfeiture arithmetic. Premium selling is *indicated* by the σ _table-vs-RV comparison but **blocked** for lack of chain-level quotes (item 12) and by the bimodal fork. Covered calls are eliminated because we have no stock and, if we did, the upside scenarios are where the entire non-dividend return lives.

TAX OVERLAY. The decisive catalyst (10-Q, ~Nov 5–16) resolves **before December 31**, so a loss branch on a stock position entered post-gate lands **in tax year 2026** — good in a harvest year. Any expression expiring in **January 2027 or later defers the loss into 2027 and is excluded during a harvest year** unless the edge numerically dominates; here it does not (price-only EV is +3.3%, and the long-call branch is already negative after dividend forfeiture). Two further notes: a cash-secured put assigned in late December creates an unwanted new-year position and is not permitted during harvest; and any dividend-capture-style entry held under 61 days around the ex-date converts qualified dividend treatment to ordinary income, which would eat into the \$1.20 that *is* the thesis.

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{"price_gates": [{"level": 9.71, "direction": "below", "basis": "52-week low break = LP supply not digested; stand down, no starter"}, {"level": 9.0, "direction": "below", "basis": "hard exit / no-bid unless dividend affirmed in a filed document – yield-anchor unwind"}, {"level": 11.5, "direction": "above", "basis": "warrant strike overhead supply shelf; clearing it is the add-1 signal"}, {"level": 12.4, "direction": "above", "basis": "issuer's own 6/9/26 deck mark; full round-trip of the float shock = add-2"}], "event_gates": [{"forms": ["8-K"], "why": "dividend declaration, early-amortization/DSCR notice, or new acquisition – the dividend is 81% of the EV"}, {"forms": ["10-Q", "10-K"], "why": "GAAP cash-flow statement: CFO minus capex minus scheduled ABS principal, plus PDP base decline – Gates A and B"}, {"forms": ["S-1", "S-1/A", "424B3", "EFFECT"], "why": "new resale registration = fresh float expansion on top of the 19.4% already freed"}, {"forms": ["4"], "why": "J-code $0 dispositions to zero shares = another sponsor/LP in-kind distribution"}, {"forms": ["SC 13G/A", "SC 13D/A"], "why": "5%/10% holder exits; the 9/10/26 pair was the single largest unread fact in the case"}], "catalyst_dates": [{"date": "2026-11-05", "what": "next earnings print (pack/yfinance-derived; no company PR names it)", "confirmed": false}, {"date": "2026-11-12", "what": "probable dividend declaration (inferred from prior dividend PR cadence, not company-stated)", "confirmed": false}, {"date": "2026-11-16", "what": "outer edge of 10-Q filing window – where Gates A and B actually resolve", "confirmed": false}, {"date": "2027-03-31", "what": "end of pre-declared dividend runway (1Q27); first fully discretionary board decision", "confirmed": false}], "immediate_entry": null, "unverified": [{"item": "GAAP CFO minus capex minus scheduled ABS principal >= $60M annualized", "instrument": "10-Q cash-flow statement (filing window 2026-11-05 to 2026-11-16) / XBRL pull once tagged", "drainable_now": false, "estimate": {"range": "56-66 USD millions/yr post-principal FCF", "basis": "bridge: 33.2 EBITDA – 0.6 capex – 5.6 interest = 27.0 vs reported 15.7 FCF – > ~45M/yr residual, matches mgmt's ~$130M amortized since 2023", "p": 0.55}}, {"item": "Disclosed PDP base decline rate below 10%", "instrument": "S-1 / 424B3 reserve tables and 10-K Properties (already in the pack's filing inventory)", "drainable_now": true, "estimate": {"range": "8-12 % annual base decline", "basis": "mature TX/OK conventional PDP base rate; consistent with flat 22.8 MBoe/d on $0.6M capex", "p": 0.45}}, {"item": "ABS III amortization schedule and DSCR headroom to early-amortization trigger", "instrument": "424B3 0001213900-26-067494 (already cited by one bench for triggers, not for schedule)", "drainable_now": true, "estimate": null}, {"item": "Whether an Up-C Tax Receivable Agreement exists against the 1,676,830 Class B shares", "instrument": "10-Q 0001213900-26-088500 related-party note (filed 2026-08-13)", "drainable_now": true, "estimate": null}, {"item": "True Series A preferred annual cash cost: $15.2M stated vs ~$20M implied by EPS reversal", "instrument": "10-Q equity/preferred terms note + S-1 certificate of designations", "drainable_now": true, "estimate": {"range": "15.2-20.0 USD millions/yr", "basis": "$125M at stated coupon vs residual from two-class EPS reconciliation (14.4 – 9.4 = 5.0/qtr)", "p": 0.6}}, {"item": "2Q26 net income: $15.5M or $14.4M (our own bench cited both)", "instrument": "8-K Ex-99.1 ea030206301ex99-1.htm income statement", "drainable_now": true, "estimate": null}, {"item": "Provenance of $17.0417 52-week high – real FTW print or stitched predecessor series", "instrument": "IBKR reqHistoricalData daily bars 2026-03-05 to present", "drainable_now": true, "estimate": null}, {"item": "ADV and float turnover – no volume data in the pack", "instrument": "IBKR historical volume bars, 20-day and 60-day median", "drainable_now": true, "estimate": {"range": "150k-400k shares/day (~$1.6-4.2M notional)", "basis": "orphan small-cap NYSE E&P comps at ~$310M market cap, 2-analyst coverage", "p": 0.7}}, {"item": "Whether the 3,422,260 LP-distributed Class A shares are digested", "instrument": "IBKR volume + Form 4 / 13G-13D amendment watch + next 13F cycle", "drainable_now": false, "estimate": {"range": "40-70 % of block cleared by mid-Oct to mid-Nov 2026", "basis": "in-kind LP distribution bleed base rate for de-SPAC sponsor blocks", "p": 0.6}}, {"item": "Street 3Q26 EBITDA/DCF consensus and range – no divergence anchor exists", "instrument": "broker/consensus connector; 2-analyst coverage means no reliable consensus may exist", "drainable_now": false, "estimate":

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{"range": "34-38 USD millions 3Q26 adj EBITDA", "basis": "2Q26 $33.2M plus partial-quarter Canyon Creek 3.5 MBoe/d", "p": 0.6}}, {"item": "Dividend durability beyond the pre-declared 1Q27 window", "instrument": "8-K/PR declaration watch each quarter; board decision, not drainable by construction", "drainable_now": false, "estimate": {"range": "p(hold through 1Q27) 0.90; p(hold past 1Q27) 0.60 at $1.35/yr", "basis": "1.05x full-load coverage + ARD principal step-up base rate for securitized payout vehicles", "p": 0.6}}, {"item": "Existence and chain-level quotes of a tradeable FTW options chain (blocks all options expression and VRP math)", "instrument": "IBKR option chain pull – chain-level midpoint IV and real strike quotes, never the aggregate underlying IV feed", "drainable_now": true, "estimate": {"range": "p(listed chain) 0.6; p(liquid enough to trade at mid) 0.25", "basis": "NYSE listings of similar cap/float; FTW WS warrants listed separately", "p": 0.25}}}]}
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ADJUDICATION — 2026-09-16 15:36Z

ARD defers principal / coverage engineered (NOVEL, reduced); preferred burden ~\$20M/yr; full-load coverage ~1.05x. Not damage-absent, not structural.

REOPEN GATES: 10-Q/10-K CFO – capex – scheduled ABS principal $\geq$ \$60M annualized; disclosed PDP base decline $<10\%$; 3.42M LP-distributed shares digested → starter $\leq 0.5\%$ sleeve